CHAPTER 11

INTERNATIONAL BUSINESS

CHAPTER ESSENCE AT A GLANCE:
Master cross-border commerce: rationale of international trade, export and import procedure milestones, essential foreign trade documents, and global trade governance via WTO, IMF, and World Bank.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Rationale of International Trade:** Nations engage in international trade due to uneven distribution of natural resources, differences in labor productivity, and comparative cost advantages.

• **Export Procedure Documentation Milestones:** Sequential stages: Receiving trade inquiry and sending proforma invoice, obtaining IEC code and RBI registration, securing Letter of Credit, export inspection, excise clearance, customs clearance, and bill of lading.

• **Key International Trade Documents:** Commercial Invoice, Bill of Lading (official document of title issued by carrier), Letter of Credit (bank guarantee of importer creditworthiness), Certificate of Origin, and Shipping Bill.

• **Bretton Woods & WTO Global Governance:** World Trade Organization (WTO) ensures non-discriminatory rule-based multilateral trade; International Monetary Fund (IMF) maintains balance of payments stability; World Bank funds infrastructure.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Comparative Advantage} \iff \text{Specialize in Low Opportunity Cost Goods} \rightarrow \text{Trade for High Cost Goods}$$

Fundamental Ricardian Foreign Trade Rationale

$$\text{Export Document Flow} = \text{Indent Order} \rightarrow \text{Letter of Credit} \rightarrow \text{Shipping Bill} \rightarrow \text{Bill of Lading}$$

Sequential Export Operational Documentation

$$\text{Letter of Credit (LC) Mechanism} \iff \text{Importer's Bank Guarantees Payment to Exporter}$$

International Sovereign Credit Guarantee Model

$$\text{Global Financial Pillars} = \text{WTO (Trade Rules)} + \text{IMF (Currency Stability)} + \text{World Bank (Reconstruction)}$$

Tripartite International Economic Governance Architecture

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** A Bill of Lading is issued by the shipping company and acts as a document of title to goods; an Airway Bill is an acknowledgement issued by an airline but is NOT a document of title.

• **Alert:** Letter of Credit is opened by the importer's bank in favor of the exporter, providing irrevocable payment assurance.

• **Alert:** Certificate of Origin is essential for availing tariff concessions under bilateral or regional preferential trade agreements.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. State two major reasons why countries engage in International Business. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Unequal Resource Distribution:** Natural resources, climatic conditions, and raw materials are unevenly distributed across nations. **[1 Mark]**

• **Comparative Cost Advantage:** Countries produce goods in which they possess highest productivity and lowest opportunity cost, exchanging surpluses. **[1 Mark]**

2. What is a Letter of Credit (LC)? Why is it demanded by exporters before shipping goods? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A formal guarantee issued by the importer's bank promising that payment will be made to the exporter upon presentation of specified shipping documents. **[1 Mark]**

• **Significance:** Eliminates cross-border credit default risk, assuring the exporter that goods will be paid for. **[1 Mark]**

3. Explain the role and significance of a Bill of Lading in international export trade. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Receipt of Cargo:** Serves as an official receipt issued by the shipping company acknowledging that goods have been loaded on board the vessel. **[1 Mark]**

• **Contract of Carriage:** Contains terms and conditions of freight carriage between the shipper and shipping line. **[1 Mark]**

• **Document of Title:** Represents legal ownership of goods; the consignee cannot claim delivery at destination port without surrendering endorsed original bill. **[1 Mark]**

4. Distinguish between a Bill of Lading and an Airway Bill across two key points. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Mode of Transport:** Bill of Lading is issued by maritime shipping companies for sea cargo; Airway Bill is issued by airline carriers for air freight. **[1.5 Marks]**

• **Document of Title Status:** Bill of Lading is a negotiable document of title to goods; Airway Bill is merely an acknowledgement of receipt and contract of carriage, not a document of title. **[1.5 Marks]**

5. State the significance of each of the following export documents: (a) Shipping Bill, (b) Certificate of Origin, (c) Mate Receipt. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Shipping Bill:** Primary document required by customs authorities to grant permission for export clearance and vessel loading. **[1 Mark]**

• **(b) Certificate of Origin:** Certifies the specific country where goods were manufactured, vital for claiming preferential tariff duties. **[1 Mark]**

• **(c) Mate Receipt:** Receipt issued by the ship's chief officer acknowledging cargo loading on board, used to obtain the Bill of Lading. **[1 Mark]**

6. State any three primary objectives of the World Trade Organization (WTO). [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Promoting Free and Fair Trade:** Lowering tariff barriers and eliminating non-tariff quantitative restrictions among member nations. **[1 Mark]**

• **Dispute Settlement Mechanism:** Providing a legal tribunal to resolve international trade conflicts impartially. **[1 Mark]**

• **Non-Discriminatory Trade:** Enforcing Most Favored Nation (MFN) treatment ensuring equal trading rights across all member states. **[1 Mark]**

7. Explain the major stages involved in executing an Export Procedure from Receipt of Inquiry to Dispatch of Goods. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Inquiry and Indent:** Exporter responds to buyer inquiry with Proforma Invoice; buyer sends formal purchase order (Indent). **[1 Mark]**

• **Credit Verification and IEC:** Exporter verifies importer credit via Letter of Credit and obtains Importer-Exporter Code (IEC) from DGFT. **[1 Mark]**

• **Pre-shipment Inspection and Excise:** Obtaining Export Inspection Agency clearance and completing central excise procedures. **[1 Mark]**

• **Customs Clearance and Loading:** Submitting Shipping Bill to customs, securing 'Let Export' order, loading goods, and obtaining Bill of Lading. **[1 Mark]**